

FEDERAL MARITIME COMMISSION
Office of the Administrative Law Judges

JACK SEARL, *Claimant*

v.

SHIPPINGMYGOODS.COM INC., *Respondent*.

DOCKET NO. 2016(I)

Served: March 26, 2025

BEFORE: Theresa DIKE, *Small Claims Officer*.

INITIAL DECISION¹

I. INTRODUCTION

Claimant Jack Searl initiated this proceeding by filing an informal complaint against Respondent Shippingmygoods.com Inc. (“SMG”) with the Federal Maritime Commission (“FMC” or “Commission”), alleging that SMG violated 46 U.S.C. § 41102(c) of the Shipping Act and 46 C.F.R. § 545.4 of the Commission’s Regulations in connection with an arrangement between the parties to ship Claimant’s container from the United States to Germany. SMG denies Claimant's allegations and asserts that Claimant is not entitled to receive reparations.

A. Background and Procedural History

Claimant, who was relocating from the United States to Germany with his family, arranged with SMG to ship his household goods from the United States to Germany. SMG picked up Claimant’s shipment on September 8, 2023, and initially stated that his goods would arrive within approximately twelve weeks from the pickup date but later changed the delivery date to February 11, 2024. When the goods failed to arrive by February 11, 2024, and SMG ignored Claimant’s inquiries about the status of his shipment, Claimant tried to retrieve his shipment from SMG, but SMG also ignored emails from Claimant asking for the location of his goods and refused to authorize the warehouse where the shipment was stored to release the shipment to Claimant’s representative. When Claimant threatened to initiate a complaint against SMG it finally released the shipment to Claimant. After retrieving his shipment Claimant hired another company to ship his goods and initiated this proceeding against SMG, alleging that SMG violated section 41102(c) of the Shipping Act. Claimant initially sought reparations against SMG in the amount of \$5,126.24, but later reduced that amount to \$2,190.73, explaining that he had

¹ Pursuant to 46 C.F.R. § 502.304(g), this decision will become final unless the Commission elects to review it within 30 days of service.

filed a claim against SMG with its bond provider, which had initially denied the claim, but later rescinded the denial and refunded to him the \$2,935.51 shipping charges he paid to SMG.

On October 21, 2024, the Secretary of the Commission issued a Notice of Filing of Small Claims Complaint and Assignment (“Notice of Filing”), instructing SMG to file a response to the Claim by November 15, 2024. SMG failed to file a response by the deadline, therefore, the Office of the Administrative Law Judges instructed it on December 4, 2024, to file a response by December 11, 2024. On December 12, 2024, SMG filed its answer, explaining that it was late because the email that had been used to send the Complaint and Notice of Filing “is not regularly checked.” The same day, December 12, 2024, the Chief Administrative Law Judge assigned this proceeding to the undersigned for adjudication. In addition, Claimant submitted a “Motion for Default and Entry of Default Judgment” (“Motion for Default Judgment”) against SMG, asserting that a default judgment should be entered against SMG “for its failure to answer or otherwise respond to the complaint, despite passage of the statutory time to respond and SMG’s non-response to the Commission’s allowed extension of time and second order to respond.” Motion for Default Judgment at 1. Claimant’s request for default judgment was denied on the basis that the “Commission’s small claims procedures do not make provision for motions to dismiss” and “the Commission will generally not dismiss a proceeding because a party failed to comply with a deadline by one day.” Email to the parties dated December 16, 2024.

Pursuant to 46 C.F.R. § 502.301(a) and (e) of the Commission’s Rules, which authorize the Small Claims Officer (“SCO”) in a Subpart S proceeding to, if deemed necessary, request additional documents or information from the parties, on December 17, 2024, a Request for Additional Documents and Information (“Request for Supplemental Information”) was issued, directing the parties to provide certain information and documents by January 14, 2025, and permitting any party wishing to file a response to the opposing party’s submission to do so by January 28, 2025. On December 18, 2025, Claimant submitted his response to the Order for Supplemental Information (“C. Supp. Info”). On January 15, 2025, Respondent submitted its responses to the Order (“R. Supp. Info”). Neither party submitted a reply to the other’s response. The record is now complete.

As discussed in greater detail below, Claimant fails to demonstrate that it is entitled to reparations under the required elements listed at 46 C.F.R. § 545.4(d) of the Commission’s Rules and Regulations. The Claim is therefore dismissed, and reparations denied.

B. Argument of the Parties

1. Claimant’s Arguments

Claimant alleges that SMG held his shipment in an unknown and undisclosed location “for a period far exceeding that which is needed to execute the shipping of [Claimant’s cargo] from the United States to Germany;” that SMG failed to deliver his shipment within the agreed upon time frame; refused multiple times to disclose the location of the shipment; refused to release the shipment to him until he threatened to file suit at the FMC; failed to pay third parties hired to arrange delivery of the shipment within a reasonable time frame; “received payment for an insurance policy they can or will not produce;” repeatedly failed to fulfill their freight forwarder and NVOCC duties; and repeatedly failed to refund Claimant when asked to do so.

Complaint at 1-2. Claimant further alleges that SMG “repeatedly failed to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of Complainant in violation of 46 U.S.C. § 41102(c) and 545.4(c)(d)(e) of the Code of Federal Regulations.” Complaint at 2.

Claimant asks that he be awarded reparations in the amount of \$2,190.73, representing \$1190.73 he paid to reship his cargo with a different carrier when SMG failed to ship it, and \$1,000 in damages for children and baby clothes, books, and toys, which, according to Claimant, “were intended for a 12-18 month old during the winter months [but did not] fit the child nor were age appropriate for them once the goods actually arrived due to the delay.” C. Supp. Info. at No. 2; Memorandum (“Complaint Memo”) at pg. 11². In support of his claim for damages, Claimant provides a link to a report by the United States Department of Agriculture titled “2015 Expenditures on Children by Families” (“USDA Report”), arguing that the USDA Report:

[F]ound that for a child aged 0-2, a married-couple family in 2015 spent \$670 on “Clothing” and \$450 on “Miscellaneous” per year (Table 1, page 24) for a **total of \$1,120 (in 2015 dollars)**. According to the U.S. BIS CPI Inflation Calculator, \$1,120 in January 2015 has the same buying power as \$1,475.03 in September 2023 (when the goods were collected by SMG). As Mr. Searl and his family moved all of their belongs to Germany, Mr. Searl argues that \$1,000 in reparations is appropriate, considering this also contained gifts from Mr. Searl’s child’s birthday just a few days prior.

C. Supp. Info. at No. 5.

2. SMG’s Arguments

Respondent SMG asserts that while “there were significant delays, however, please understand that none of these delays occurred maliciously and we never intentionally gave the customer false information.” Answer at pg. 1. It states that the initial estimated arrival date of February 11, 2023, provided to Claimant was based on an email it received from Schumacher Cargo Logistics, Inc. (“SCL” or “Schumacher”) and that although SCL later sent a message relaying updated sailing details for the shipment, they sent that message to an SMG employee who was admitted to a hospital at that time and never sent SMG an email advising that the shipment had not been loaded onboard the ocean common carrier’s vessel, thus SMG was unable to advise Claimant of the updated sailing information. Answer pg. 1.

SMG denies that it failed to pay the shipping consolidator it hired to ship the goods, SCL, explaining that it has “sent shipments with Schumacher since 2014, and we pay them several payments at once in bulk, thus, the customer is gravely mistaken.” Answer at pg. 1. In addition, SMG denies that it withheld release of Claimant’s shipment. It states that the shipment was not

² The parties did not always include page numbers in their submissions; in instances where a submission is unnumbered, the decision uses, as an example, “page 1” to refer to the first page of the submission, “page 2” for the second page of the submission, etc.

initially released to Sara Dandan from FourOneOne, LLC, who had asked for release of the shipment to her, because it had no authorization from Claimant to do so and neither Claimant nor Sara Dandan could be reached despite multiple efforts by SMG to reach them. SMG states that it immediately authorized release of the shipment when SCL confirmed that Sara Dandan was indeed Claimant's representative. Answer at 1.

SMG argues that the amount sought by Claimant as reparations is unfair because, according to it, "we incurred a significant number of charges on Mr. Searl's shipment and [are] still willing to provide him with a full refund (even though we rendered several services during the shipping process)." Answer pg. 3 at No. b. SMG similarly opines that the \$1,000 asserted as damages for items belonging to Claimant's child "is a gross overvalue of these goods," as, according to SMG, Claimant's shipment "consists of clothes and 3 other boxes that only have a little bit of children's clothes each along with other items." Answer pg. 3 at No. c. SMG asserts that it incurred \$1,667.11 in costs for Claimant's shipments. Answer at 3.

II. PERTINENT FACTS ESTABLISHED BY THE RECORD ("PF")

1. Claimant Jack Searl is an individual shipper residing in Germering, Germany. Complaint pg. 1.
2. Claimant lived in Henderson, Nevada, prior to relocating to Germany in 2023.
3. Respondent Shippingmygoods.com, Inc. ("SMG") was previously licensed by the Commission as an NVOCC and ocean freight forwarder (Organization No. 024865; OTI License No. 024865) effective April 22, 2014, with its principal place of business in Parkland, Florida. [REDACTED]; Complaint Ex. 1.
4. Jonathan J. Duharte was SMG's president. [REDACTED]
5. SMG's OTI license was revoked by the Commission on September 6, 2024. [REDACTED].
6. In August 2023, Claimant arranged with SMG to ship his two pallets of household goods door-to-door by ocean, less than container load, from Nevada, United States to Munich, Germany, for charges in the amount of \$2,935.51. Complaint Memo at pg. 1; Answer pgs. 1, 3; C. Supp. Info. pgs. 2 at No. 2, 3 at no. 4 (email from SMG to Claimant dated August 8, 2023), 6-7 at no. 6, 8-9 at no. 8.
7. SMG indicated that the shipping time for the pallets would be "approximately 12 weeks give or take a week or so." Complaint Memo pg. 1 (September 11, 2023, email from SMG to Claimant).
8. On September 28, 2023, SMG picked up the two pallets for delivery. Complaint Memo. pg. 1.

9. SMG hired Schumacher Cargo Logistics, Inc. (“SCL”) to consolidate and store Claimant’s goods at the Port of Long Beach until they could be loaded into a container for shipping to Germany. C. Supp. Info. pg. 10 at No. 9; C. Supp. Info. pg. 9 at No. 8 (SCL Warehouse Receipt showing: Shipper: Jack Cesareo Searl, Consignee: Jack Cesareo Searl, Date In: 10/30/2023, Location: LGB, Service: GRP, Shipment: 2 pallets of wood).
10. On October 30, 2023, SMG dropped off Claimant’s shipment at SCL’s warehouse. Complaint Memo at pg. 4 (Email from SCL to Claimant and SMG. Complaint Memo pg. 4.).
11. On November 2, 2023, SMG emailed Claimant, stating in pertinent part: “The goods are at our receiving warehouse at the departing port in The USA. It will be another week or two until the goods are loaded into the container. The initial deposit was \$600.” Complaint Memo. pg. 1.
12. On November 17, 2023, SMG sent an email to Claimant, labeled **IMPORTANT/RESENDING/PLEASE CONFIRM RECEIVED**, stating in pertinent part:

Our billing department has attempted to send you the final invoice for your shipment, however it seems you may not have received this. Please URGENTLY scroll down below to view your invoice and send the remainder of the payment as soon as possible . . . Please send payment as soon as possible (within 1-3 business days) to prevent any late charges from the shipping line.

C. Supp. Info. pg. 8 at no. 8 (emphasis in original). This email followed an earlier undated email from SMG to Claimant, stating in pertinent part: “Please send payment as soon as possible (within 1-3 business days) to prevent any late charges from the shipping line.” C. Supp. Info. pg. 8 at no. 8.
13. Claimant had paid a deposit of \$600 to SMG prior to the pickup of his household goods, he then paid an additional \$2,335.51 to SMG on November 17, 2023, bringing the total amount he paid SMG to \$2,935.51. Complaint Memo. at pg. 2; C. Supp. Info. pgs. 2 at No. 4, and 6 at no. 6 (emails from SMG and between the parties, and check payment from Claimant).
14. Claimant made 26 attempts by phone and email between November 17, 2023, after paying SMG the charges on his shipment in full, and April 1, 2024, to learn when his shipment would be delivered. SMG failed to reply to most of Claimant’s inquiries and to update him about the status and location of his shipment. Complaint Memo at pgs. 4–10; C. Supp. Info. pg. 2 at no. 3.
15. Between November 20th to December 15, 2023, Claimant sent emails to SMG inquiring about his shipment, but SMG did not respond until December 15, 2023. Complaint Memo pgs. 4-6.

16. On December 8, 2023, SMG's president, Jonathan Duharte, emailed Claimant, stating: "I have asked the shipping line for an update and will let [you] know as soon as possible." Complaint Memo pg. 6.

17. On December 12, 2023, SCL sent an email to SMG, stating:

The above shipments are tentatively scheduled to depart on 12-20-2023 and current ETA is 02-11-2024. The official sailing details will be sent once shipment is confirmed on board the vessel. I just thought you would like to give your clients advance notice of the "estimated sailing details."

Answer pg. 1 (email from Dawne Harris at SCL titled "1029150 Searl / 1029141 Donner").

18. On December 15, 2023, Jonathan Duharte, followed up with Claimant, stating in pertinent:

Thanks for your email and am sorry for the delay as I keep asking the shipping line. Unfortunately there is severe congestion in Los Angeles which is creating severe delays for a lot of shipment. I just got off the phone with the shipping line and they are advising that, your shipment has a tentatively ETA of February 11th. From there it will be approximately 1-3 weeks for customs clearance and delivery.

Complaint Memo pg. 2. Again, on January 30, 2024, Jonathan stated to Claimant by email:

Their system was still down and thus I sent them an email asking for an update as I waited on hold for quite some time. The last update that they had sent had an ETA of February 11th for the shipment so it's definitely hasn't arrived yet and it should be arriving on or shortly after the 11th of Feb.

Complaint Memo pg. 12.

19. When his shipment failed to arrive by February 11, 2023, Claimant followed up with several more emails to SMG between February 12, 2024 and March 28, 2024, asking for information to locate his shipment, and noting in some emails that it had "been more than a week since our shipment was scheduled to arrive (Feb 11), 8 weeks since the quoted delivery maximum, and 20 weeks since shipment [of the goods]." Emails #19, #20, #21. Complaint Memo pgs. 7-9.

20. Other than the invoice that it issued to Claimant, SMG did not provide any shipping documents to Claimant for his shipment. C. Supp. Info. pg. 11 at no. 11.

21. In addition, although Claimant purchased insurance at a declared value of \$7,982 for his shipped items, SMG did not provide any document to Claimant reflecting that an insurance policy was purchased. Complaint Memo pg. 11; C. Supp. Info. pg. 11 at no. 11.
22. In the insurance valuation sheet provided to Claimant by SMG, \$1,000 was indicated as the total declared value for items described as “Books,” “Children’s Toys,” “Decorations,” “Baby Clothes,” and “Children’s Clothes³.” Complaint Memo pg. 11.
23. Claimant retained the services of FourOneOne, LLC (“FourOneOne”), a company licensed to practice before the FMC, to assist him in locating his shipment, and also sought assistance from the FMC’s Office of Consumer Affairs and Dispute Resolution Services (“CADRS”). Supp. Info. pg. 13 at no. 12 (email from Sara Dandan, Founder of FourOneOne); Complaint memo pg. 10 (email from Claimant to SMG dated March 21, 2023).
24. On April 1, 2024, FourOneOne contacted SMG, requesting the location, bill of lading, container number, carrier, vessel, and voyage number for the shipment, and warning: “If you do not provide this information quickly, we will disengage with CADRS and go straight to an actual complaint with the FMC. We are also most likely going to file a complaint against your bond as well.” Supp. Info. pg. 13 at no. 12.
25. FourOneOne also contacted SCL, which responded:
 - We received this shipment into our warehouse on Oct 30 2023
 - We invoiced shipment to our client Shipping My Goods on the same day
 - Several emails requesting payment were sent to SMG throughout Feb-Mar 2024
 - We received payment from SMG on Apr 2 2024
 - As SMG is our client & our contract is with them, we can only release the shipment to FourOneOne with the written permission of SMG
 - Until the above takes place then this shipment will remain in our warehouse.

C. Supp. Info. pg. 12 at no. 12 (Email from Robert Lonek of SCL to Sara Dandan, Claimant, and SMG).

26. Despite receiving the final and complete payment from Claimant for his shipment on November 17, 2023, SMG did not send a payment to SCL for Claimant’s shipment until April 2, 2024, one day after it was notified by FourOneOne that it intended to initiate a complaint against SMG with the FMC and SMG’s bond provider. Complaint Memo. at pg. 2; C. Supp. Info. pgs. 2 at No. 4, and 6 at no. 6; Supp. Info. pg. 13 at no. 12; C. Supp. Info. pg. 12 at no. 12.

³ According to Claimant, he uses the words “Children” and “Baby” interchangeably to describe his one-year-old child. C. Supp. Info. pg. 5 at no. 5.

27. On April 24, 2024, SCL sent an email to the parties, stating in pertinent part:
- I have requested & received the release of Jack Searl's shipment from SMG. At this time I will turn you over to my colleague Dawne Harris who will work with you to coordinate the release of this shipment.
- C. Supp. Info. pg. 10 at no. 10 (Email from SCL to Sara Dandan, Claimant, SMG, and Dawne Harris).
28. SCL released Claimant's shipment to Claimant on April 24, 2024. C. Supp. Info. pg. 10 at no. 10.
29. On April 24, 2024, Claimant filed a claim against SMG's bond, but the claim was denied by the bond provider based on responses they received from SMG. Claimant then appealed the denial.
30. On October 14, 2024, Claimant initiated this proceeding seeking reparations against SMG. Claimant Motion Memo pg. 2.
31. On December 10, 2024, SMG's bond provider rescinded its denial and refunded to Claimant the \$2,935.51 he paid to SMG. Claimant Motion Memo pgs. 1-2.
32. Claimant reshipped his household goods through Craft Multimodal USA LLC ("Craft"), an FMC-licensed ocean transportation intermediary, at a charge of 1190.73. (1,082.73 payment to Craft plus an additional \$108 paid to Sara Dandan for ocean freight forwarding services rendered by her FMC-licensed ocean freight forwarder company Lojistechns, LLC. (Complaint Ex. 3 (email from Sara Dandan dated June 18, 2024, forwarding invoice for \$1190.73); C. Supp. Info. pg. 11 at no. 11 (Craft Bill of Lading No. LE2417038502LAXHAM, listing shipper as Simple Forwarding Inc.; consignee as Jack Searl; forwarder as Lojistechns (Chicago) and sail date as June 2, 2024).
33. Claimant did not submit proof of the value and damages claimed for the baby/child items. C. Supp. Info. pg. 5 at no. 5 (Claimant providing link instead to a USDA website).

III. DISCUSSION

A. Controlling Authority

Respondent was a licensed ocean transportation intermediary at the time the ocean transportation arrangement in dispute took place. PF 3, 5. "The term 'ocean transportation intermediary' means an ocean freight forwarder or a non-vessel-operating common carrier." 46 U.S.C. § 40102(20). An "ocean freight forwarder" is a person that –

- (A) in the United States, dispatches shipments from the United States via a common carrier and books or otherwise arranges space for those shipments on behalf of shippers; and

(B) processes the documentation or performs related activities incident to those shipments.

46 U.S.C. § 40102(19). An NVOCC is “a common carrier that: (A) does not operate the vessels by which the ocean transportation is provided; and (B) is a shipper in its relationship with an ocean common carrier.” 46 U.S.C. § 40102(17). A “common carrier” is a person that –

- (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation;
- (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and
- (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country.

46 U.S.C. § 40102(7). The term “shipper” means –

- (A) a cargo owner;
- (B) the person for whose account the ocean transportation of cargo is provided;
- (C) the person to whom delivery is to be made;
- (D) a shippers’ association; or
- (E) a non-vessel-operating common carrier that accepts responsibility for payment of all charges applicable under the tariff or service contract.

46 U.S.C. § 40102(23).

Claimant alleges that Respondent violated section 41102(c). This section provides that “[a] common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c).

To establish a successful claim for reparations under section 41102(c), the claimant must demonstrate that:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and

(e) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4.

B. Evidence and Burden of Proof.

A complainant alleging a violation of the Shipping Act must prove its allegations by a preponderance of the evidence; in other words, demonstrate that the allegations are more probable than not. *See, e.g., Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, Docket No. 15-04, 2021 WL 3732849, at *3-4 (FMC Aug. 18, 2021) (citing 5 U.S.C. § 556(d); 46 C.F.R. § 502.155 and *Maher Terminals, LLC v. Port Auth. Of N.Y. & N.J.*, Docket No. 08-03, 2014 WL 9966245, at *14 (FMC Dec. 17, 2014). When direct evidence is unavailable circumstantial evidence may be sufficient to prove the elements of a charge in an administrative proceeding so long as inferences are not based on mere speculation. *Waterman Steamship Corp v. General Foundries, Inc.*, Docket No. 93-15, 1993 WL 13975538, at * 13 (ALJ Dec. 9, 1993) adopted in relevant part, 1994 WL 279898, 26 S.R.R. 1424 (FMC June 13, 1994).

C. Claimant Fails to Demonstrate that it is Entitled to Recover Reparations.

Claimant alleges that SMG violated section 41102(c) of the Shipping Act, which prohibits regulated entities from failing to establish, observe and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property. 46 U.S.C. § 41102(c). Under section 545.4(d) of the Commission's regulations, to establish a section 41102(c) violation and recover reparations against the respondent, the claimant must demonstrate that five elements are present - 1) that the respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary; 2) that the acts by the respondent at issue i.e., its practice or regulation, relates to or is connected with receiving, handling, storing or delivering property; 3) that the acts are the proximate cause of the loss suffered by Claimant; 4) that the acts are unjust or unreasonable; and 5) that the alleged acts or omissions are occurring on a normal, customary, and continuous basis. *See* 46 C.F.R. § 545.4(d).

a. Claimant Demonstrates that Elements 1-4 Under Section 545.4(d) are Satisfied

Claimant states that SMG failed to ship his goods from the United States to Germany, as agreed, left the goods unattended in SCL's warehouse for approximately 8 months, failed to pay SCL, the shipping consolidator it hired for the goods, within a reasonable time frame, and failed to respond to Claimant's 26 attempts to contact it for updates on his shipment. C. Supp. Info pg. 2 at No. 3.

SMG was a licensed ocean transportation intermediary at the time the parties entered into the arrangement in question, thus the first element under section 545.4(d) requiring that the respondent be an ocean common carrier, marine terminal operator, or ocean transportation intermediary is satisfied. The second element, requiring that the acts at issue relate to or be connected with receiving, handling, storing, or delivering property, is likewise demonstrated because the arrangement at issue was for the shipping of Claimant's household goods from the United States to Germany. Further, Claimant demonstrates that the above-described acts by

SMG, i.e. its practice/regulations, were the proximate cause of the alleged losses suffered by Claimant, thus the third element required under Section 545.4(d) is similarly demonstrated.

In addition, Claimant demonstrates that the described acts by SMG were unjust and unreasonable, as required under the fourth element. Although SMG told Claimant that the shipping time for his household goods would be “approximately 12 weeks give or take a week or so” (PF 7), the record shows that after taking possession of Claimant’s goods on September 28, 2023, SMG simply deposited them at SCL’s warehouse on October 30, 2023, and took no meaningful action to ship them to the final destination until Claimant was forced to retrieve the shipment on April 24, 2024, and ship it through another company (PF 27, 30). The record further shows that despite SMG sending an urgent message to Claimant on November 17, 2023, insisting that the final payment of the shipment was due immediately “to prevent any late charges from the shipping line” (PF 12), it was not until April 2, 2024, when Claimant threatened to file a complaint against it with the FMC and its bond provider, that SMG actually paid SCL the shipping consolidator for the charges owed on the shipment, even though SCL had sent it an invoice for payment on the same day the shipment was deposited at its warehouse (PF 26). In the absence of a payment to SCL for the shipment’s transportation, the shipment simply languished at SCL’s warehouse until SCL received payment from SMG, and authorization to release the shipment to Claimant. Moreover, SMG ignored “several emails [from SCL] requesting payment from SMG” (PF 25) and ignored the majority of Claimant’s emails inquiring about the status of his shipment. When it did respond, SCL misled Claimant regarding the shipment. (PFs 14-19). These acts by SMG are found to be unjust and unreasonable.

b. Claimant Fails to Demonstrate that the Alleged Conduct by SMG was Occurring on a Normal, Customary, and Continuous Basis

However, notwithstanding the foregoing finding, Claimant fails to show that the alleged conduct by SMG is occurring on a normal, customary, and continuous basis,” the fifth element required to recover reparations under Section 545.4(d). The request for supplemental information asked that Claimant provide evidence demonstrating this element. In response, Claimant stated:

Specifically, please refer to the evidence that SMG did not execute the shipment, held the goods in a third party warehouse for an approximate time frame of 8 months, did not deliver the property to the Shipper in a time frame consistent with the proper execution of such a shipment, shirked their duty to Mr. Searl by not paying third parties that they contracted with in a reasonable time frame, and not reasonably replying Mr. Searl’s 26 attempts at contact via email to SMG between paying the shipment in full on November 17, 2023 and April 1, 2024 to receive updates regarding delivering the shipment.

C. Supp. Info pg. 2 at no. 3.

As the Commission has noted: “finding a [section 41102(c)] violation based on a single act or omission, is inconsistent with the original intent of Congress, the rules of statutory construction, and Commission precedent. Properly interpreted, § 41102(c) applies to acts or omissions that occur on a normal, customary, and continuous basis.” *Ngobros and Co. Nigeria v. Ocean Cargo Link, LLC*, FMC Docket No. 14-15, 2019 WL 7631708, at *3 (FMC 2019)

(internal citations omitted). Also, in *Hangzhou*, the Commission affirmed the administrative law judge's finding that the respondent's release of three shipments under one contract over the course of two months to the same consignees without obtaining the original bill of lading as required, or authorization from the claimant, was not sufficient to demonstrate that the conduct was occurring on a normal, customary, and continuous basis. *Hangzhou Qianwang Dress Co., Ltd v. RDD Freight Int'l, Inc.*, FMC Docket No. 17-02, 2020 WL 13512921, at *5 (FMC 2020). Similarly, in *Crocus*, the Commission stated:

Commission precedent has made clear that a single shipment or isolated act or omission does not show a pattern or practice. An "occasional transaction" or isolated act is not a "practice." Two or three incidents over a short time period are not enough to show that the conduct in question is an entity's normal and customary practice. Even six instances of "unreasonable conduct" carried out over a period of several months involving the same entities have been ruled insufficient to prove that conduct was "uniform or continuous."

Crocus, 2021 WL 3732849, at *8 (internal citations omitted). Claimant alleges multiple instances of misconduct by SMG in the handling of his shipment. However, the fact that SMG acted improperly in multiple ways with regard to Claimant's shipment does not, without more, establish that SMG engages in the same acts when handling other shipments, such that one could find that it was SMG's practice to engage in the same improper conduct with other shippers. To recover reparations for a section 41102(c) claim, all five elements under Section 545.4(d) must be established. Claimant's failure to demonstrate the fifth element therefore bars award of reparations to him.

Moreover, Claimant has already recovered the full \$2,935.51 amount he paid to SMG from its bond provider (PF 13, 29, 31), and the remaining damages asserted are not supported with credible evidence or are not appropriate for reparations. As proof of the \$1,000 reparations award requested for his one-year-old child's books, toys, and clothing, which, according to him, were no longer appropriate for use by the child due to the delay in shipping them caused by SMG's actions, Claimant submitted a link to a USDA Report. C. Supp. Info. at No. 5. Claimant argues that the report "found that for a child aged 0-2, a married-couple family in 2015 spent \$670 on "Clothing" and \$450 on "Miscellaneous" per year (Table 1, page 24) for a **total of \$1,120 (in 2015 dollars)**. C. Supp. Info. at No. 5 (emphasis in original). Even accepting that premise, the relevance of the report is not apparent. Claimant did not describe or provide proof of the books, toys, and clothing in question, how much he paid for them, or provide any evidence that the items were no longer appropriate for the child, as claimed. Claimant also asked for an award of \$1190.73 "to cover the costs of shipping with the new carrier . . . they were forced to engage in order to successfully and competently complete this shipment." C. Supp. Info pg. 2 at No. 2(a). As previously noted, Claimant has already recovered the amount it paid to SMG for the shipping. He is not entitled to ship his goods for free. Award of reparations would therefore not be appropriate, even if all the elements of the claim were met.

IV. CONCLUSION

Claimant Jack Searl fails to demonstrate that Respondent SMG violated section 41102(c) of the Shipping Act of 1984, 46 U.S.C. § 41102(c). Accordingly, it is hereby **ORDERED** that

Claimant's request for reparations be **DENIED** and his complaint be **DISMISSED WITH PREJUDICE**.

THERESA DIKE Digitally signed by THERESA DIKE
Date: 2025.03.26 15:46:38 -04'00'

Theresa Dike
Small Claims Officer